

Please write clearly in block capitals.

Centre number Candidate number

Surname _____

Forename(s) _____

Candidate signature _____

I declare this is my own work.

GCSE ECONOMICS

Paper 2 How the Economy Works

Predicted Paper – Moderate Difficulty

Predicted Exam

Morning

Time allowed: 1 hour 45 minutes

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Materials

You will need no other materials.

You may use a calculator.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is **80**.
- Questions should be answered in continuous prose. You will be assessed on your ability to:
 - use good English
 - organise information clearly
 - use specialist vocabulary where appropriate.

For Examiner's Use	
Section	Mark
A	
B	
TOTAL	

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8136/2-PM

Section A

Answer **all** questions in the spaces provided.

For questions with four responses, only **one** answer per question is allowed.
For each question, completely fill in the circle alongside the appropriate answer.
CORRECT METHOD ● WRONG METHODS ⊗ ■ ■ ■

- 0 1** Which of the following is the most likely effect of a decrease in interest rates? **[1 mark]**
- A Decreased consumer spending ☐
 - B Decreased investment ☐
 - C Increased borrowing ☐
 - D Increased saving ☐
- 0 2** Which of the following is an example of a direct tax? **[1 mark]**
- A Council tax ☐
 - B Fuel duty ☐
 - C Income tax ☐
 - D Value-added tax (VAT) ☐

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- 0 3** Which of the following best describes progressive taxation? **[1 mark]**
- A All households pay the same amount of tax ☐
 - B Richer households pay a higher proportion of their income in tax ☐
 - C Richer households pay a lower proportion of their income in tax ☐
 - D Tax rates stay the same as income rises ☐
- 0 4** Which of the following is most likely to cause cost-push inflation? **[1 mark]**
- A A decrease in labour costs ☐
 - B A decrease in raw material prices ☐
 - C An increase in consumer spending ☐
 - D An increase in wages across the economy ☐
- 0 5** Which of the following is an objective of the UK government? **[1 mark]**
- A Achieving low and stable inflation ☐
 - B Increasing income inequality ☐
 - C Maximising the budget deficit ☐
 - D Reducing exports ☐

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- 0 6** 'Money can be used to buy goods and services now and in the future.' Which function of money does this statement most closely relate to? **[1 mark]**
- A Means of deferred payment ☐
 - B Medium of exchange ☐
 - C Store of value ☐
 - D Unit of account ☐
- 0 7** Which of the following is most likely to cause a fall in the value of the pound against the euro? **[1 mark]**
- A Higher UK interest rates ☐
 - B Increased UK exports to the Eurozone ☐
 - C Increased UK imports from the Eurozone ☐
 - D Reduced UK demand for euros ☐
- 0 8** An individual deposits £4000 into a savings account with an annual interest rate of 3%. How much interest will they earn in one year? **[1 mark]**
- A £60 ☐
 - B £120 ☐
 - C £150 ☐
 - D £400 ☐

Do not write o

- 0 9** Which of the following is most likely to be classified as structural unemployment? **[1 mark]**
- A A builder who is between jobs for two weeks ☐
- B A coal miner made redundant when pits close permanently ☐
- C A ski instructor unemployed in the summer ☐
- D A worker made redundant during a recession ☐

- 1 0** Which of the following pairs of changes would be expansionary fiscal policy? **[1 mark]**

	Tax rates	Government spending
A	Decrease	Decrease
B	Decrease	Increase
C	Increase	Decrease
D	Increase	Increase

- ☐
- ☐
- ☐
- ☐

- 1 1** State two examples of direct taxes used in the UK. **[2 marks]**

1

1

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- 1 2** Explain what is meant by progressive taxation. **[2 marks]**

- 1 3** Explain one function of money. **[2 marks]**

- 1 4** Table 1 shows the Consumer Price Index (CPI) for an economy.

Table 1

Date	CPI
January 2022	100.0
December 2022	109.2

- 1 4 . 1** Using Table 1, calculate the annual inflation rate at December 2022 to one decimal place. **[2 marks]**

Answer _____ %

- 1 4 . 2** Explain one problem caused by high inflation for consumers. **[2 marks]**

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Figure 1 – The Bank of England and interest rates

The Bank of England is responsible for setting interest rates in the UK through its Monetary Policy Committee (MPC). The MPC meets regularly to decide the Bank Rate, which influences the cost of borrowing and the reward for saving in the UK economy.

In recent years, the Bank of England has used interest rate changes to respond to rising inflation. Higher interest rates can reduce consumer spending and borrowing, helping to slow the rate of inflation. However, there are other effects on the economy that need to be considered.

15

Using Figure 1, analyse how an increase in interest rates by the Bank of England can affect the UK economy.

[6 marks]

[illegible]

Do not write o

1 6 State two supply-side policies that could be used by the UK government. **[2 marks]**

1

1

2

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1 7 Explain one benefit of economic growth for a country. **[2 marks]**

1 8 Explain one role of a commercial bank. **[2 marks]**

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1 9 Table 2 shows unemployment data for an economy.

Table 2

Year	Number unemployed (millions)
2022	1.35
2023	1.42

1 9 . 1 Using Table 2, calculate the percentage change in unemployment between 2022 and 2023 to one decimal place. **[2 marks]**

Answer

%

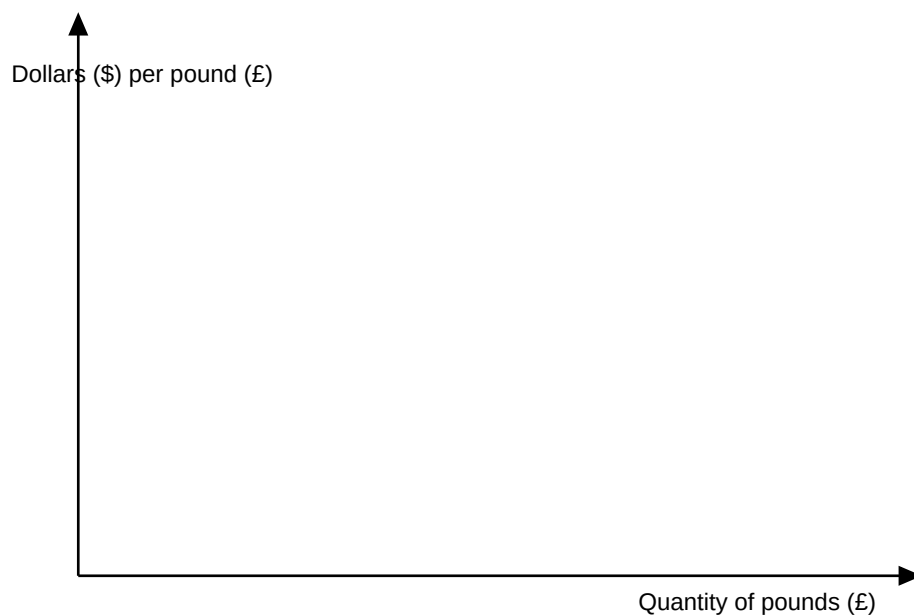
1 9 . 2 Explain one cost of unemployment for an individual.

[2 marks]

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2 0 Figure 2 shows the US dollar (\$)/British pound (£) exchange rate.

Figure 2 – US dollar (\$)/British pound (£) exchange rate



On Figure 2, draw and label the effects on the exchange rate of increased UK exports to the United States.

[3 marks]

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Figure 3 – UK unemployment

Keeping unemployment low is one of the main objectives of the UK government. Unemployment has varied considerably over recent decades, reaching highs of over 10% in the 1980s and 1990s, and falling to around 4% in recent years before the COVID-19 pandemic.

When unemployment rises, the government often takes action to reduce it, such as increasing government spending or cutting taxes. However, these policies can have negative effects, including higher inflation or larger budget deficits. Some economists argue that a small amount of unemployment is natural and cannot be avoided.

21

Using Figure 3, assess whether the UK government should always aim for the lowest possible level of unemployment as an objective for the UK economy.

[9 marks]

[illegible]

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Section B

Answer **all** questions in the spaces provided.

Item A

UK government taxation and spending

Taxation is an important source of revenue for the UK government. The UK government uses taxes to fund public services such as the NHS, education and defence. There are different types of taxes, including direct taxes like income tax and indirect taxes like VAT.

Data for UK government tax revenues in 2022-23 is shown in Table 3.

Table 3
UK tax revenues 2022-23

	£ billion
Income tax	249
National Insurance contributions	178
VAT	160
Corporation tax	85

Source: HMRC

Some economists argue that the UK government should rely more heavily on direct taxes, as these can be made progressive to reduce inequality. Other economists believe that indirect taxes are better, as they can influence consumer behaviour and discourage harmful consumption.

Government spending is also used to achieve economic objectives such as low unemployment and economic growth.

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Item B

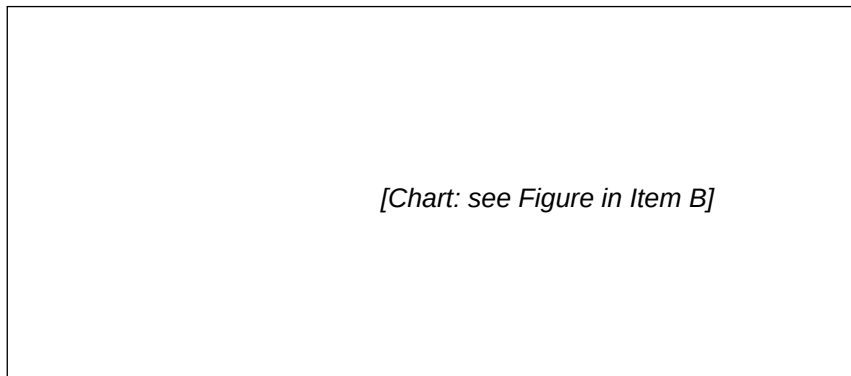
Globalisation and UK trade

Globalisation has led to increased trade between countries around the world. The UK is an open economy, meaning it trades extensively with other countries. UK consumers benefit from a wider range of goods at lower prices, while UK producers gain access to larger export markets.

However, globalisation also brings challenges. Some UK industries have declined due to cheaper competition from abroad, leading to job losses in certain regions. Concerns about the environmental impact of increased global trade have also grown in recent years.

Figure 4 shows UK imports of goods and services between 2000 and 2021.

Figure 4 – UK imports 2000–2021 (£ billions)



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2 2 Define the term 'direct tax'.

[2 marks]

2 3

Using Table 3 in Item A, calculate the percentage of total tax revenue (from the four sources shown) that comes from income tax. Give your answer to one decimal place.

[3 marks]

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2 4 Using Item A, explain two ways the UK government could use taxation to achieve its economic objectives. **[6 marks]**

Policy 1

Policy 2

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Using Item B, analyse the possible consequences of increased globalisation for UK consumers.

[6 marks]

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Using Item A and Item B and your own economic knowledge, discuss whether the UK government should use taxation as the main policy to reduce income inequality. Justify your answer.

[15 marks]

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END OF QUESTIONS

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